

BATS

Past Paper Revision Series

Topic-based Past Paper Practice

Module 1

Business Environment



Heung To Middle School

Book 1.1

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101 Hong Kong Business Environment

Multiple Choice Questions

1. DSE2012 – 10

Which of the following are the impacts of globalisation on the business sector?

- (1) increased international trade
- (2) reduced production cost of goods
- (3) intensified global competition

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2. DSE2012 – 11

Which of the following is not a purpose of the Closer Economic Partnership Arrangement (CEPA)?

- A. reduce barriers on the trade of goods between Hong Kong and the Mainland
- B. promote free trade in services between Hong Kong and the Mainland
- C. ensure free flow of information between Hong Kong and the Mainland
- D. facilitate cross-border business investment between Hong Kong and the Mainland

3. DSE2013 – 12

Which of the following is not a function of World Trade Organisation?

- A. provide a forum for negotiation aimed at reducing obstacles to international trade
- B. settle disputes among its members regarding the interpretation of trade agreements
- C. monitor and review the trade policies of its members
- D. provide loans and subsidies to developing countries for trade development

4. DSE2013 – 16

Which of the following would encourage a multinational trading company to move its headquarters to Hong Kong?

- (1) larger number of multinational companies than small and medium enterprises in Hong Kong
- (2) good transportation network between Hong Kong and other Asian cities
- (3) lower profits tax rate in Hong Kong

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

5. DSE2013 – 22

Which of the following statements are correct?

- (1) Hong Kong is an offshore Renminbi Business Centre of Mainland China.
- (2) The main origin and destination of Hong Kong's re-exports of goods are Mainland China.
- (3) "Closer Economic Partnership Arrangement" (CEPA) aims at raising capital in Hong Kong for Mainland enterprises.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

6. DSE2014 – 15

Which of the following is/are the example(s) of economic factors that might affect the business of a jewellery shop in Hong Kong? (1) There is an increase in the income and consumption power of mainland tourists. (2) The mainland government allows residents of more cities to come to Hong Kong for individual visits. (3) The cross-border transport facilities are improved.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

7. DSE2014 – 30

Which of the following statements about Asia-Pacific Economic Cooperation is correct?

- A. It provides loans to developing countries in the Asia-Pacific region.
- B. It supports sustainable economic growth in the Asia-Pacific region.
- C. It settles trade disputes among countries in the Asia-Pacific region.
- D. It issues certificates of origin for products manufactured in the Asia-Pacific region.

8. DSE2015 – 16

Which of the following are the characteristics of the Hong Kong economy?

- (1) Simple taxation
- (2) Reliance on external trade
- (3) Concentration on secondary industry

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

9. DSE2015 – 22

Which of the following statements regarding the World Trade Organisation (WTO) are correct?

- (1) WTO settles trade disputes among members.
- (2) Decisions made by WTO are binding on all members.
- (3) WTO helps developing countries develop the infrastructure needed to expand their trade.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

10. DSE2015 – 26

Which of the following are the impacts of globalisation on business?

- (1) Reduced information costs
- (2) Reduced competition among businesses
- (3) Facilitated transfer of technology between different countries

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

11. DSE2016 – 17

Which of the following is a benefit brought about by the “Closer Economic Partnership Arrangement” (CEPA) for the businesses in Hong Kong?

- A. Companies owned by Hong Kong residents are not taxed on the Mainland.
- B. There is free flow of capital between Hong Kong and the Mainland.
- C. Tariffs are not levied on goods originating in Hong Kong exported to the Mainland.
- D. Hong Kong is allowed to enter the World Trade Organisation as an independent economy.

12. DSE2017 – 1

Which of the following statements about Asia-Pacific Economic Cooperation is/are correct?

- (1) It settles trade disputes in the Asia-Pacific region.
- (2) It promotes sustainable economic growth in the Asia-Pacific region.
- (3) It encourages cooperation on trade and investment in the Asia-Pacific region through high-level government to-government dialogues.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

13. DSE2017 – 6

Which of the following statements about the trade relationship between Hong Kong and the Mainland are correct?

- (1) Hong Kong is the largest trade partner of the Mainland,
- (2) In terms of the value of goods, the Mainland is the largest re-export destination of Hong Kong.
- (3) Many goods originating in Hong Kong exported to the Mainland are tariff-free.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

14. DSE2017 – 16

Which of the following is/are physical factor(s) that might affect businesses in Hong Kong?

- (1) Climatic condition
- (2) Air quality
- (3) Population structure

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

15. DSE2018 – 1

Which of the following statements about the Hong Kong economy is not correct?

- A. The Hong Kong Government does not control the inflows and outflows of capital.
- B. Hong Kong is a founding member of the World Trade Organization.
- C. Most businesses in Hong Kong are multinational corporations.
- D. Under the Closer Economic Partnership Arrangement (CEPA), service suppliers in Hong Kong enjoy preferential treatment when setting up business in most service sectors on the Mainland.

16. DSE2019 – 5

Which of the following descriptions about the Hong Kong economy is/are correct?

- (1) a sales tax is imposed on the retailing of goods
- (2) most of the working population are in the tertiary sector
- (3) the main destination of exported goods is the Mainland

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

17. DSE2019 – 22

Which of the following statements about the World Trade Organization are correct?

- (1) It settles trade disputes among members
- (2) It provides forums for trade negotiations among members
- (3) It provides financial assistance to developing countries for trade development.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

18. DSE2020 – 10

Which of the following is/are feature(s) of Hong Kong's economy?

- (1) Most businesses in Hong Kong are small and medium enterprises.
- (2) Hong Kong is a net exporter of raw materials.
- (3) Hong Kong does not maintain trade barriers on imports.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

19. DSE2020 – 24

Which of the following are the benefits brought about by globalisation to Hong Kong businesses?

- (1) more sources of capital
- (2) introduction of new technology
- (3) lower production cost

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

20. DSE2021 – 1

Which of the following statements about the World Trade Organization is/are correct?

- (1) It enforces the rules of international trade among members.
- (2) It helps developing countries increase their trading opportunities.
- (3) It eliminates trade barriers among members.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

21. DSE2021 – 7

Which of the following is/are legal factor(s) affecting the operations of a restaurant in Hong Kong?

- (1) There is an increase in the minimum wage rate.
- (2) The number of people participating in group gatherings in any public places is restricted because of the spread of COVID-19.
- (3) There is a decrease in the Consumer Price Index.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (2) only

22. DSE2021 – 24

Which of the following is/are benefit(s) to Hong Kong brought about by globalisation?

- (1) easier to recruit experts from overseas
- (2) cheaper supplies of materials
- (3) reduce competition among firms

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (2) only

23. DSE2022 – 1

Which of the following statements about Hong Kong business environment is/are correct?

- (1) Hong Kong is a member of the Asia-Pacific Economic Cooperation and the World Trade Organization.
- (2) The secondary industry contributes to a major part of the Gross Domestic Product of Hong Kong.
- (3) Businesses which make profits in Hong Kong are subject to salary tax.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (2) only

24. DSE2022 – 11

A foreign firm has established retail shops in Hong Kong. Which of the following is/are economic factor(s) that might affect this firm?

- (1) customers' preference for international brands
- (2) foreign exchange rate
- (3) employment level of Hong Kong

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

25. DSE2022 – 28

Which of the following descriptions about the 'Closer Economic Partnership Arrangement' (CEPA) is correct?

- A. All professional qualifications are mutually recognised between Hong Kong and the Mainland.
- B. All Mainland businesses can apply to list their stocks on the Main Board of the Stock Exchange of Hong Kong.
- C. Hong Kong businesses can apply for interest-free loans from the Mainland government if they relocate the headquarters to the Mainland.
- D. All goods of Hong Kong origin can enjoy zero tariff preference upon importation into the Mainland.

26. DSE2023 – 1

Which of the following statements about Hong Kong business environment is/are correct?

- (1) Hong Kong is rich in natural resources and is self-sufficient.
- (2) Most of the goods imported into Hong Kong come from the Mainland.
- (3) Hong Kong government does not impose sales tax on the retailing of goods.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

27. DSE2023 – 16

Which of the following is a benefit brought about by the 'Closer Economic Partnership Arrangement' (CEPA) to Hong Kong?

- A. No tariffs are imposed on goods imported from the Mainland to Hong Kong.
- B. There is a free flow of labour between the Mainland and Hong Kong.
- C. Hong Kong service suppliers enjoy preferential treatment when setting up business in the Southeast Asian countries.
- D. Hong Kong professionals may enter the Mainland market by taking the Mainland professional qualification examinations.

28. DSE2024 – 1

In which ways does the business sector contribute to the Hong Kong economy?

- (1) It earns foreign exchange by selling goods and services abroad.
- (2) It provides employment opportunities to local people.
- (3) It generates tax revenue for the government.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

29. DSE2024 – 9

Which of the following is/are benefit(s) for the Hong Kong economy brought about by globalisation?

- (1) It facilitates the expansion into international markets.
- (2) It increases the profits made by businesses in Hong Kong.
- (3) It enables cost reduction through global sourcing.

- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

30. DSE2024 – 13

Which of the following statements about the Asia-Pacific Economic Cooperation are correct?

- (1) It provides financial assistance to developing countries for economic growth.
- (2) It aims to create greater prosperity among countries in the Asia-Pacific region.
- (3) Its decisions are undertaken by members on a voluntary basis.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

31. DSE2024 – 19

A foreign fast-food chain plans to establish branches in Hong Kong. Which of the following is/are economic factor(s) that might affect this chain?

- (1) the price level of Hong Kong
- (2) the structure of the labour force in Hong Kong
- (3) the operation of the Hong Kong-Zhuhai-Macao Bridge

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

32. DSE2025 – 1

Which of the following statements about the Hong Kong business environment are correct?

- (1) Hong Kong is a service-oriented economy.
- (2) Hong Kong does not impose foreign exchange controls.
- (3) Businesses are subject to profits tax, which is one of the major sources of government revenue.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

33. DSE2025 – 2

Which of the following statements about the 'Closer Economic Partnership Arrangement' (CEPA) is/are correct?

- (1) It provides a platform for settling trade disputes between Hong Kong and the Mainland.
- (2) It covers four areas, which are 'trade in goods', 'trade in services', 'investment' and 'economic and technical cooperation'.
- (3) It provides subsidies to Hong Kong professionals working in the Greater Bay Area.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

34. DSE2025 – 3

Which of the following statements about the relationship between Hong Kong and the Mainland are correct?

- (1) Mainland enterprises can list their stocks on the Main Board of the Stock Exchange of Hong Kong.
- (2) The Mainland is Hong Kong's largest trading partner.
- (3) The Mainland is the major source of Hong Kong's direct investment inflow.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

35. DSE2025 – 4

Which of the following is an example of outsourcing for a sporting goods manufacturer?

- A. purchasing raw materials from other countries at lower cost
- B. relocating its factory to another country with lower labour cost
- C. signing a contract with a manufacturer in a developing country to produce sports shoes
- D. partnering with a foreign distributor to launch a new model of sports shoes in a developing country

Short Questions

1. DSE2013 – 2

Ken owns a fast-food chain business with more than 50 outlets in Hong Kong. He is going to expand his business by offering delivery services all over Hong Kong. Wendy, a business consultant, recommends Ken to establish a telephone hotline centre in the Mainland to take orders from customers in Hong Kong and direct the Hong Kong outlets to deliver the meals.

Explain three external factors that would affect Ken's decision on whether to set up a telephone hotline centre in the Mainland. (6 marks)

2. DSE2015 – 1(b)

Annie operates a small guest house on Lamma Island for foreign travellers. She sets up an Internet booking system for the guest house, with the following goal:

'To increase the number of Internet bookings substantially in the near future'

(b) Explain one political factor and one legal factor that may affect Annie's business. (4 marks)

3. DSE2016 – 3(b)

Carlo operates a reputable restaurant chain in Italy with customers from all over the world. He is planning to establish branches in Hong Kong. A business consultant suggests him to operate the branches in the form of franchising.

(b) Explain one legal factor and one cultural factor that Carlo should consider when setting up branches in Hong Kong. (4 marks)

4. DSE2018 – 1

Nick Limited is a private limited company, manufacturing and selling electrical appliances locally. Facing international competition, the company is planning to set up an online store to sell worldwide. To lower costs and increase sales, the company is analysing the effects of globalisation in order to formulate new business strategies.

(a) Explain one technological factor and one economic factor that Nick Limited should consider when planning to set up the online store. (4 marks)

(b) Suggest two strategies to Nick Limited that may lower its production cost under globalisation. (4 marks)

5. DSE2020 – 4(A)(a)

Warmer is a famous company in Canada, selling thick coats and wool products. It is planning to set up a branch in Hong Kong.

- (a) State one social factor and one physical factor that Warmer should consider when setting up a branch in Hong Kong and explain how each factor might affect its business. (4 marks)

6. DSE2023 – 1(b)(c)

Cheerful Dance Studio is a dance school established in Korea specialising in teaching K-pop dance. To reap the benefits of globalisation, it is planning to enter the Hong Kong market by setting up branch schools in the form of franchising. The following advertisement is posted on a website to invite franchisees:

Cheerful Dance Studio <i>Come and join our franchise!</i>
• We have more than ten years' experience in dance teaching. • We provide a wide range of support: dance instructors, promotion strategies, operations... • Franchise fee: \$200 000 per year • Contract term: Five years

- (b) Explain one cultural factor that Cheerful Dance Studio should consider when setting up its branch schools in Hong Kong. (2 marks)
- (c) Explain one benefit brought about by globalisation to Cheerful Dance Studio. (2 marks)

7. DSE2025 – 1(a)

Speedy Motors Limited is a private limited company which sells petrol cars in Hong Kong. As electric vehicles are becoming more popular, the company plans to expand the product lines by selling electric private vehicles in Hong Kong. To fund the expansion, the company decides to go public and list on the GEM of the Stock Exchange of Hong Kong.

- (a) Explain one physical factor and one legal factor that Speedy Motors Limited should consider when selling electric private vehicles in Hong Kong. (4 marks)

102 Forms of Business Ownership

Multiple Choice Questions

1. DSE2012 – 12

Which of the following statements is correct?

- A. All partners in a limited partnership enjoy limited liability.
- B. All shareholders of a limited company have voting rights in the board of directors' meeting.
- C. A limited company needs to disclose its financial statements to the public.
- D. A public corporation is owned by the government.

2. DSE2012 – 23

Which of the following are differences between a small firm and a large enterprise?

	<u>Small firm</u>	<u>Large enterprise</u>
(1) Decision making	flexible	inflexible
(2) Scope of business	diversified	specialised
(3) Managerial hierarchy	fewer levels	more levels

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

3. DSE2013 – 1

Which of the following descriptions about a franchised shop is correct?

- A. operates under the authorisation of franchisor
- B. has full control over its promotion strategies
- C. must be registered as a limited company
- D. only applicable to retail and catering businesses

4. DSE2013 – 5

All the owners of a business enjoy limited liability. Although the business has no obligation to disclose its financial reports, it still publishes these reports via the internet each year. The business is a

- A. limited partnership.
- B. private limited company.
- C. company listed on the Main Board.
- D. company listed on the Growth Enterprise Market Board.

5. DSE2014 – 1

Which of the following statements about limited companies in Hong Kong is/are correct?

- (1) A limited company is a separate legal entity.
- (2) Limited companies enjoy a lower profits tax rate than sole proprietorships.
- (3) Limited companies are required to publish their financial statements in a newspaper.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (1), (2) and (3)

6. DSE2015 – 1

A limited partner_____.

- A. is a nominal partner
- B. is not liable for the debts of a partnership
- C. does not need to invest money into a partnership
- D. does not take part in the management of a partnership

7. DSE2015 – 27

Which of the following is/are the characteristic(s) of a public corporation?

- (1) Its losses are borne by taxpayers.
- (2) It is operated on a commercial basis.
- (3) The government is involved in its daily operation.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3)

8. DSE2016 – 1

Which of the following is/are the characteristic(s) of multinational corporations located in Hong Kong?

- (1) Their operations also take place outside Hong Kong.
- (2) They are listed on the stock exchange of Hong Kong.
- (3) They have more than 100 employees.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

9. DSE2016 – 6

Which of the following descriptions of joint ventures in Hong Kong is correct?

- A. Partners of a joint venture usually share the profits of the joint venture equally.
- B. A joint venture must be formed by one local company and one foreign company.
- C. A joint venture is an entity independent from all its partners.
- D. A joint venture enjoys a lower profits tax rate than a general partnership.

10. DSE2016 – 16

Which of the following statements about business ownership are correct?

- (1) Public corporations are wholly owned by the Government.
- (2) The minimum number of shareholders of a limited company is 2.
- (3) A nominal partner is not the owner of the partnership.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

11. DSE2016 – 28

A _____ is easier to set up and enjoys a relatively low tax rate in Hong Kong. All owners are liable for the business decisions of one another in this entity.

- A. partnership
- B. sole proprietorship
- C. private limited company
- D. public limited company

12. DSE2017 – 11

Compared to a sole proprietorship, which of the following is/are the advantage(s) of a limited company?

- (1) The business will not be closed upon withdrawal or death of the owner(s)
- (2) The setup cost is lower
- (3) The profits tax rate is lower

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

13. DSE2017 – 18

From the point of view of a franchisor, which of the following is/are the shortcoming(s) of running a business in the form of franchising?

- (1) Franchisee may set up his own business to become a competitor.
- (2) It is difficult to wholly control the operation style of franchisee(s).
- (3) If a franchisee manages his business poorly, the reputation of the whole franchise business will be affected.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

14. DSE2017 – 30

Which of the following statements about nominal partner is/are correct?

- (1) He is liable for the debts of the partnership.
- (2) He takes part in the operation of the partnership.
- (3) His reputation helps promote the partnership's business.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

15. DSE2018 – 18

Which of the following statements about the Ocean Park Corporation, a public corporation in Hong Kong, are correct?

- (1) It is listed on the Hong Kong Stock Exchange.
- (2) Its board of directors is appointed by the government
- (3) It is self-sufficient financially.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

16. DSE2018 – 24

Which of the following statements about a partnership is/are correct?

- (1) There is no limited partner in a general partnership.
- (2) Limited partnership is a legal entity separate from its owners.
- (3) All partners in a limited partnership only have limited liability.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

17. DSE2018 – 28

Compared to a public limited company, which of the following is/are the advantage(s) of a private limited company?

- (1) is subject to less government supervision
- (2) does not need to distribute dividends to shareholders
- (3) obtains financing more easily

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (2) only

18. DSE2019 – 1

Which of the following is/are difference(s) between a sole proprietorship and a general partnership?

	<u>Sole Proprietorship</u>	<u>General Partnership</u>
(1) Decision-making process	Shorter	Longer
(2) Profits tax rate	Lower	Higher
(3) Liability Borne	Unlimited	Limited

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

19. DSE2019 – 11

Which of the following statements about joint ventures is/are correct?

- (1) The business risk is shared by the joint venture partners.
- (2) The joint venture will normally be dissolved when the joint project is completed.
- (3) A joint venture is a new business entity formed by at least two businesses.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

20. DSE2020 – 1

Ken and Tracy plan to establish and operate a restaurant together, in which the withdrawal of either side would not lead to its closure. Which form of business ownership should they adopt?

- A. partnership
- B. public corporation
- C. private limited company
- D. listed company

21. DSE2020 – 16

The following are the differences in characteristics of two partners in a partnership:

	<u>Partner A</u>	<u>Partner B</u>
Bearing of liabilities	not required	required
Introduction of capital	not required	required
Involvement in daily operations	not required	not required

Partner A is a _____(1)_____ partner, while Partner B is a _____(2)_____ partner.

(1) (2)

- A. nominal limited
- B. nominal general
- C. general limited
- D. limited nominal

22. DSE2020 – 27

Which of the following statements about multinational corporations is/are correct?

- (1) Multinational corporations are public limited companies.
- (2) Multinational corporations operate in different countries.
- (3) A local company becomes a multinational corporation by raising capital in other countries.

- A. (1) only
- B. (2) only
- C. (1) and (2) only
- D. (2) and (3) only

23. DSE2021 – 12

Which of the following are the characteristics of a public corporation?

- (1) The government participates in its daily operations.
- (2) The chairperson of the board of directors is appointed by the government.
- (3) It is a separate legal entity.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

24. DSE2022 – 6

Which of the following statements about a joint venture is/are correct?

- (1) A joint venture is required to disclose its financial statements to the public.
- (2) A joint venture is an entity separate from the joint venture partners.
- (3) The joint venture partner who invested the most capital has the right to make the final decisions of the business operations.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

25. DSE2022 – 21

Which of the following companies is/are multinational corporation(s)?

- (1) A Hong Kong company which purchases raw materials from Thailand.
- (2) A Mainland company which issued bonds in Hong Kong to raise funds.
- (3) A Hong Kong company which established a branch in Singapore.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

26. DSE2022 – 25

Which of the following statements about a franchise business is/are correct?

- (1) A franchisee is not required to pay royalties to the franchisor when his franchise business incurs a loss.
- (2) The franchisor and all its franchisees operate the business in the same country.
- (3) With the franchisor's approval, a franchisee could have a mode of operations different from other franchisees.

- A. (1) only
- B. (2) only
- C. (3) only
- D. (2) and (3) only

27. DSE2023 – 6

Ken is the owner of a sole proprietorship. Recently, he has decided to turn the firm into a private limited company. Which of the following is/are possible reason(s) for the change?

- (1) The company is a separate legal entity.
- (2) There is no limit to the number of shareholders of the company.
- (3) The company is not required to disclose its financial statements to the public.

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

28. DSE2023 – 11

Jeff and Simon are partners of a trading firm. If Simon is a limited partner, which of the following statements about the partnership is/are correct?

- (1) If Jeff withdraws from the partnership, then the firm will be closed down.
- (2) Simon does not participate in the management of the partnership.
- (3) The maximum loss of both partners is the amount they invested in the partnership.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

29. DSE2023 – 21

Which of the following statements about multinational corporations in Hong Kong is/are correct?

- (1) They also operate in other country/countries.
- (2) There must be employees recruited from overseas in their Hong Kong office.
- (3) They can be joint ventures.

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

30. DSE2024 – 22

Bright Laundry is a self-laundry chain which operates in the form of franchise. Lisa is considering joining Bright Laundry as a franchisee. Which of the following would be the benefit(s) for Lisa of joining Bright Laundry?

- (1) has greater control over her laundry business
- (2) easier to enter the laundry market
- (3) enable a steady supply of materials

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

31. DSE2024 – 26

Which of the following is/are the difference(s) between a public limited company and a public corporation?

- (1) Owner: public limited company, less than 50 shareholders; public corporation, the government
- (2) Member of board of directors: public limited company, appointed by shareholders; public corporation, appointed by the government
- (3) Objective: public limited company, maximise shareholders' wealth; public corporation, maximise government's wealth

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

32. DSE2025 – 5

Which of the following are differences between a sole proprietorship and a private limited company?

- (1) Liability borne by owner: sole proprietorship, unlimited; private limited company, limited
- (2) Number of owners: sole proprietorship, 1; private limited company, 1-100
- (3) Separate legal entity: sole proprietorship, no; private limited company, yes

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

33. DSE2025 – 6

Compared to a public limited company listed on the stock exchange, which of the following is/are the advantage(s) of a partnership?

- (1) simpler setup procedures
- (2) lower profits tax rates
- (3) wider sources of capital

- A. (1) only
- B. (1) and (2) only
- C. (1) and (3) only
- D. (2) and (3) only

34. DSE2025 – 7

The following are examples of business activities of three Hong Kong-based companies:

- (1) Company A - sets up a factory in another country
- (2) Company B - purchases shares on overseas stock exchanges
- (3) Company C - sells goods to overseas markets via agents

Which of the above companies is/are (a) multinational corporation(s)?

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

Short Questions

1. DSE2012 – 7(a)

Mary is an experienced designer who has a wide customer network. She is considering setting up a small interior design firm on her own. At the same time, another designer, Paul, invites her to form a partnership.

(a) Give two reasons why Mary should accept Paul's invitation instead of setting up a firm on her own. (4 marks)

2. DSE2014 – 1

Patrick, Queenie and Ronald jointly set up a business in the form of a limited partnership. The partnership agreement contains the following terms:

- Only Queenie and Ronald will contribute capital.
- Patrick and Ronald have no involvement in the daily operations of the partnership.
- If the partnership is liquidated, only Queenie has to pay the outstanding debts of the partnership using her personal funds.

(a) Identify the nominal partners. (1 mark)

(b) Suggest two contributions that a nominal partner could make to a partnership. (4 marks)

3. DSE2015 – 5(b)(c)

John commenced a trading firm on 1 January 2014 as the sole owner.

To raise money for expansion, John wants to change the form of business ownership of the firm. He plans to invite five people to invest in and join the business as owners. After expansion, all owners shall have limited liability for the firm. Their ownership cannot be freely transferred.

(a) According to the above information, which form of business ownership will John adopt for the expansion? (1 mark)

(b) Apart from the restriction in ownership transfer, suggest two other disadvantages for the form of business ownership mentioned in (b), as compared to a sole proprietorship. (4 marks)

4. DSE2016 – 3(a)

Carlo operates a reputable restaurant chain in Italy with customers from all over the world. He is planning to establish branches in Hong Kong. A business consultant suggests him to operate the branches in the form of franchising.

- (a) Give two reasons why Carlo should establish the branches in the form of franchising rather than setting up his own restaurants in Hong Kong. (4 marks)

5. DSE2017 – 1

- (a) What is a joint venture? (1 mark)

- (b) Outline two advantages of running a business in the form of a joint venture. (4 marks)

6. DSE2019 – 1

Pizza Deli is a multinational corporation founded in Italy and has branches in London and Sydney. It is considering expanding to Asia by setting up its own branch in Hong Kong. A reputable restaurant chain in Hong Kong invited Pizza Deli to join them as a franchisee.

- (a) Describe the main feature of Pizza Deli as a multinational corporation. (2 marks)

- (b) Explain to Pizza Deli two disadvantages of joining the restaurant chain as a franchisee instead of setting up its own branch. (4 marks)

7. DSE2020 – 5(A)

Company A and Company B specialise in designing and building large shopping malls in Hong Kong. They plan to set up a new business together to carry out a construction project - building a shopping mall in Causeway Bay. The project will last for five years and the new business will be dissolved upon the completion of the project.

- (a) Identify the form of ownership of the new business to be set up by Company A and Company B. (1 mark)

- (b) Explain one advantage of operating in the form of business ownership in (a) above. (2 marks)

- (c) Explain one difference between a partnership and the form of business ownership in (a) above. (2 marks)

8. DSE2021 – 1

David and Raymond operate a media service business with offices in Hong Kong and other Asian countries. If a shareholder wants to transfer shares to new investors, approval must be obtained from the board of directors. To help with expansion, David suggests changing the form of business ownership so that more funds can be raised from issuing shares to the public. However, Raymond worries that the new form of business ownership will have some disadvantages for the business, as compared with the existing form.

- (a) Explain whether the above business is a multinational corporation. (2 marks)
- (b) (i) Identify the current form of ownership of the media service business. (1 mark)
- (ii) Explain two disadvantages of the new form of business ownership, as compared with the existing form. (4 marks)

9. DSE2022 – 1(a)

Tim is a sole trader operating a shop selling organic skincare products. Candy invited him to be a partner of her business, which sells olive oil skincare products imported from Italy.

- (a) Explain to Tim two advantages of forming a partnership with Candy, rather than operating his business on his own. (2 marks)

10. DSE2023 – 1(a)

Cheerful Dance Studio is a dance school established in Korea specialising in teaching K-pop dance. To reap the benefits of globalisation, it is planning to enter the Hong Kong market by setting up branch schools in the form of franchising. The following advertisement is posted on a website to invite franchisees:

Cheerful Dance Studio <i>Come and join our franchise!</i>
• We have more than ten years' experience in dance teaching. • We provide a wide range of support: dance instructors, promotion strategies, operations... • Franchise fee: \$200 000 per year • Contract term: Five years

- (a) Explain two problems that may arise if Cheerful Dance Studio sets up its branch schools by franchising. (4 marks)

11. DSE2024 – 2(a)(b)

Ada and Billy are partners of a firm that manufactures and sells furniture. Billy is a limited partner. Recently, they invited their friend, Carol, to join the firm as a nominal partner. Carol is an experienced and well-known interior designer. In a meeting, Ada presented a research report which stated that the paint used in some furniture produced by the firm contains an excessive amount of a chemical which may be harmful to people's health.

- (a) State the similarity between Billy and Carol in their role as a partner in managing the firm. (1 mark)
- (b) Apart from enhancing the reputation of the firm, explain one contribution that Carol could make to the firm. (2 marks)

12. DSE2025 – 1(b)

Speedy Motors Limited is a private limited company which sells petrol cars in Hong Kong. As electric vehicles are becoming more popular, the company plans to expand the product lines by selling electric private vehicles in Hong Kong. To fund the expansion, the company decides to go public and list on the GEM of the Stock Exchange of Hong Kong.

- (b) Explain two disadvantages of going public for Speedy Motors Limited. (4 marks)

103 Business Ethics and Social Responsibilities

Multiple Choice Questions

1. DSE2014-3

Which of the following are benefits of being a socially responsible business?

- (1) lower production costs
- (2) better business reputation
- (3) attraction of customers who are also concerned about social responsibility

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2. DSE2015-2

Which of the following statements about stakeholders of a company is correct?

- A. Competitors are not stakeholders of a company.
- B. Stakeholders of a company would be affected by the decisions made by the company.
- C. All stakeholders can share the assets of the company upon its liquidation.
- D. A client becomes a company's stakeholders only after he/she has settled his/her outstanding debts to the company.

3. DSE2016-15

Which of the following companies is/are socially responsible?

- (1) A power company which develops new technology to help reduce gas emissions.
- (2) A printing company which accepts many orders from social welfare organisations.
- (3) A trading company which encourages employees to participate in voluntary work to serve the community.

- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

4. DSE2018-7

Ethical behaviour in business will _____.

- (1) enhance the public image of a business
- (2) increase the operating costs of a business in the long run
- (3) enable a business to be subject to a lower profits tax rate

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

5. DSE2018-14

For a toy company, which of the following is not regarded as an example of fulfilling its social responsibility?

- A. using recycled materials to produce toys
- B. donating toys to orphanages
- C. offering 20% discount to customers during Christmas
- D. improving the working environment of its employees

6. DSE2019 - 9

Which of the following statements about business ethics is/are correct?

- (1) Business actions that are legally acceptable may be unethical.
- (2) A 'code of ethics' is compiled by the government for businesses.
- (3) Business ethics are a set of clearly defined moral principles and standards that a business should follow.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

7. DSE2019 - 17

Which of the following is/are regarded as example(s) of a hotel fulfilling its social responsibilities?

- (1) Allowing clerical staff to work from home when there are adverse weather conditions
- (2) Paying the minimum wage to housekeepers
- (3) Serving shark fins if requested by customers

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

8. DSE2020 – 22

Which of the following companies does not fulfill its social responsibility towards its stakeholders?

- A. A company adopts a strict credit policy for its customers.
- B. A company does not distribute dividend to ordinary shareholders.
- C. A company charges a higher price than its competitors selling the same type of product.
- D. A company does not provide training and development opportunities for its employees.

9. DSE2021 – 16

Which of the following firms are fulfilling their social responsibility towards stakeholders during the spread of COVID-19?

- (1) An interior design company which allows its employees to work from home.
- (2) A restaurant which offers discounts to dine-in customers.
- (3) A publisher which allows the public to read its books online free of charge.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

10. DSE2021 – 19

What is the main reason for a business to compile a code of ethics?

- A. This is required by law.
- B. This could reduce the cost of production.
- C. This could improve the firm's image and maximise its profit.
- D. This provides rules and standards for employees.

11. DSE2023 – 27

Which of the following is/are example(s) of a supermarket fulfilling its social responsibilities?

- (1) Offering consumption reward schemes to customers.
- (2) Reducing packaging for goods.
- (3) Providing free food coupons to senior citizens.

- A. (1) only
- B. (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

12. DSE2025 – 8

The following measures are adopted by a logistics company. Which of the measures is/are fulfilling social responsibilities?

- (1) using fuel with less carbon emission for lorries
- (2) delivering parcels to customers within the time limit stated in the contracts
- (3) installing seat belts for drivers

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Short Questions

1. DSE2012 – 6(b)

Peter was a sole proprietor running a small business without any employees. He bought a piece of equipment with a list price of \$56 000 for \$48 000 in February 2012. Peter then went bankrupt On 31 March 2012 and he decided to close the business. The market value of the equipment on the same date was \$38 000.

- (b) Give two types of stakeholders in Peter's business and explain the adverse effect of the closure on each of them. (4 marks)

2. DSE2014 – 5(b)(c)

Mike sells imported tableware to restaurants. Mike learns from a research report that materials of some of his inventory may be harmful to people's health. He plans to give away these items as free gifts to his customers, without mentioning the potential health hazards. His wife warns him that this is an unethical practice and will adversely affect his business.

- (b) If Mike decides to give away those items as planned, explain two possible adverse impacts on his business. (4 marks)

- (c) Apart from the customers, identify another stakeholder of Mike's business. (1 mark)

3. DSE2017 – 4(b)(c)

John commenced a firm selling grocery and household products on 1 January 2016. Three employees were hired for the operation of the firm.

- (b) What is business ethics? (1 mark)

- (c) For each of the following stakeholders, illustrate with one example how John can ensure that the operation of his firm is socially responsible:

- (i) Employees of the firm (2 marks)

- (ii) Residents living around the firm (2 marks)

4. DSE2022 – 4(b)(c)

Ben runs a small food and grocery shop in Mongkok.

To fulfill social responsibilities, the firm sells food and necessities at prices below cost to the elderly living alone in the neighbourhood.

- (b) Explain why the above action is fulfilling social responsibilities. (2 marks)

- (c) State two reasons why Ben's firm is willing to fulfill its social responsibilities. (2 marks)

5. DSE2024 – 2(c)

Ada and Billy are partners of a firm that manufactures and sells furniture. Billy is a limited partner. Recently, they invited their friend, Carol, to join the firm as a nominal partner. Carol is an experienced and well-known interior designer. In a meeting, Ada presented a research report which stated that the paint used in some furniture produced by the firm contains an excessive amount of a chemical which may be harmful to people's health.

- (c) The firm decides to sell the above-mentioned furniture without stating that the paint used may be harmful to health. The customers may take some actions against the firm.

Explain two possible adverse impacts on the firm resulting from the customers' actions. (4 marks)

Name:
Class:
Class No: